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The Editors
Journal of International Economics

Dear Editors,

I am pleased to submit “Corridor, Not Factory: Trade Reorientation and the Missing Investment Response in Kazakhstan, 2022–2025” for consideration at the *Journal of International Economics*.

After February 2022, part of the trade between Russia and its principal partners was re-allocated through third countries. The paper studies what one of those intermediaries, Kazakhstan, retained from that reallocation, and whether it induced domestic investment. Using product-level trade data (HS6, 2018–2025) I identify a 29-line “surge basket” in which exports to Russia rise about tenfold and break sharply in May 2022; an externally compiled product list, not selected on Kazakh outcomes, shows the same break. Propagating a wholesale-and-freight margin through the input–output table implies that a rerouted dollar generates on the order of a tenth of the domestic value added of a produced one, and I report the full sensitivity of that figure to the chosen margin. Across three commercial deal databases (Capital IQ, PitchBook, Preqin) I find no investment response in the reoriented product lines. I read the null through a three-gate decomposition—market access, irreversibility, and capital-market institutions—and argue that a customs union with the destination, which makes trade a close substitute for production, is close to sufficient for the null on its own.

The paper speaks to a question at the centre of the journal’s scope: when a trade-policy-driven demand shock is met by domestic production and when it merely passes through. It contributes the first host-economy incidence analysis of the post-2022 reallocation—prior work, including Chupilkin, Javorcik and Plekhanov in the *European Economic Review*, establishes that the reallocation happened and its scale—and it connects the entrepôt-margin tradition (Feenstra and Hanson on Hong Kong’s re-exports of Chinese goods) to the investment-under-uncertainty and institutional-voids literatures through a single organising framework.

The manuscript is original, is not under consideration elsewhere, and no part of it has been published previously. It is single-authored. The trade analysis rests entirely on public data (UN Comtrade, World Bank WDI, OECD ICIO, Kazakhstan BNS); the deal data are licensed under academic terms and cannot be redistributed, but the full query specification and the source deal identifiers are in the replication package, so the extract is reconstructible by a licence holder. A complete replication package accompanies the paper. A declaration of competing interest—the author is employed by the Astana International Financial Centre—is on the title page and in the manuscript; it does not bear on the empirical analysis.

I suggest the following referees, none of whom has a conflict of interest to my knowledge:

- **Julian Hinz** (Bielefeld University / Kiel Institute for the World Economy) — empirical work on sanctions and trade, including the measurement of trade re-routing through third countries.
- **Sonali Chowdhry** (DIW Berlin) — export controls, trade diversion, and the incidence of trade-policy shocks.
- **Réka Juhász** (University of British Columbia) — when trade shocks induce a domestic supply and industrial response, the paper’s central question.

I have no objection to any potential referee.

Thank you for considering the paper.

Sincerely,

Zhanbolat Kakishev